Year 11 Theme 2 GCSE Business

2.1 Growing your Business:

Inorganic VS Organic growth 2.1.1

Organic growth is a business's process of expansion by using its own internal resources

Inorganic growth is when the business grows externally (merger or takeover)

This is only suitable for PLC's

PLC's: As a business grows, it may choose to become a public limited company (PLC). In a PLC, shares are sold to the public on the stock market.

Benefits and drawbacks for Inorganic/organic growth:

The advantages and disadvantages of **external (inorganic) growth**

Advantages of external growth include:

- competition can be reduced
- market share
- can be increased very quickly overnight

Disadvantages of **external growth include:**

- it can be expensive to takeover/merge with another business
- managers may lack the experience to deal with the other businesses

2.1.2 Changes in business aims and objectives:

Why business aims and objectives change as businesses evolve:

- Response to new technology
- Changes in legislation
- Globalisation
- Internal reasons
- Growing workforce

2.1.3 Business and Globalisation:

globalisation refers to companies operating **internationally or on a global scale.**

Globalisation involves businesses buying and selling around the world, often due to the cost or availability of products or cheap labour.

Importing refers to the process of purchasing goods or services from overseas and bringing them into another country.

Exporting refers to a country selling products and services to other countries around the world.

Barriers to international trade – tariffs and trading blocs:

Tariffs: A tariff is a tax on imported goods and services.

A trading bloc is another potential barrier to international trade. A trading bloc is a group of countries that work together to provide special deals for trading. E.g European Union

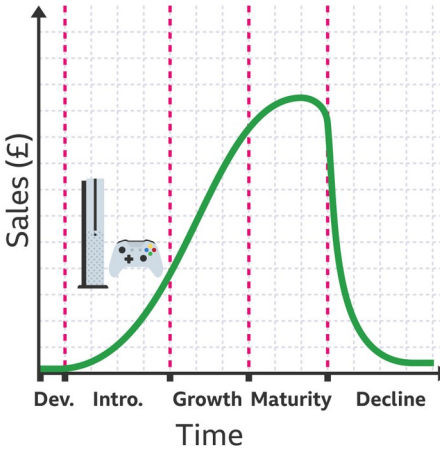
SPICED	WPIDEC
Strong	**W**eak
Pound makes	**P**ound makes
Imports	**I**mports
Cheaper but	**D**earer but
Exports	**E**xports
Dearer	**C**heaper

2.1.4 Ethics and the environment:

Ethics are about having standards of behaviour and 'doing the right thing'. The business can be ethical towards, suppliers, workers, customers etc.

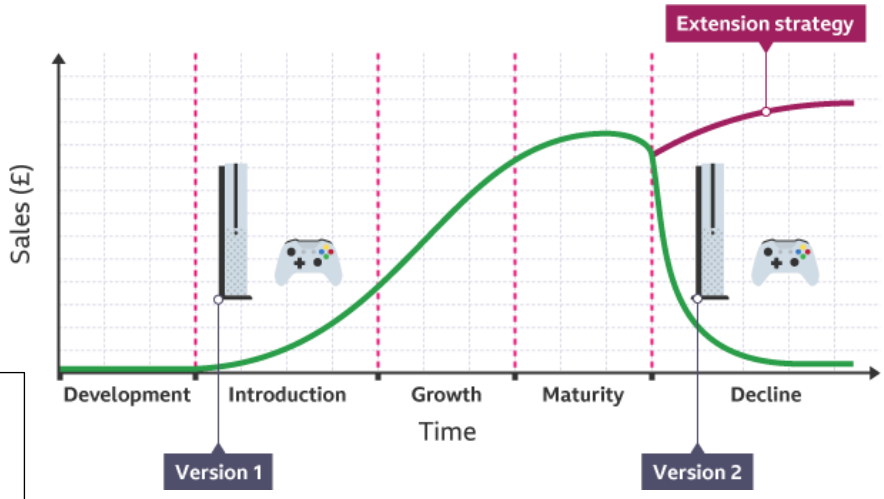
2.2 Making marketing decisions

2.2.1 Product



Phases of the product life cycle	Explanation
Introduction	The product is launched, so sales may be low because only a small number of customers are aware that the product exists.
Growth	As more customers become aware of the product, sales increase rapidly, especially if customers like it.
Maturity	Sales reach their peak during this phase, as the product becomes established. It may become a regular purchase for customers who like it.
Decline	Sales fall during this phase as the product loses popularity and customers look for alternatives. It is withdrawn when it becomes unprofitable.

Extension strategies: how you extend the life cycle of a product e.g marketing strategies.



2.1.2 Price

Pricing low in order to achieve a **high volume of sales** but at a **low** *profit margin* - This strategy is often used for *generic* products with little or no *unique selling point (USP)*.

Pricing high while accepting there will be a **low volume of sales** but at a **high profit margin** - This strategy is often used for luxury products or products with a good USP.

2.1.3 Promotion

- inform consumers of a new product or service
- persuade consumers to buy a product or service
- remind consumers about the benefits of a product or service



2.1.4 Place

Channels of production: producers, retailers, e-tailers.

2.3 Making operational decisions: The term business operations refer to the part of the business that provides customers with the goods or services that they ordered.

Production processes:

Job production

Job production is when individual products are made one at a time to meet specific customer preferences. An example would be tailor-made suits, which are made specifically to each customer's measurements and tastes.

2.3.2 Working with suppliers:

Stock can consist of:

- **raw materials** waiting to be used in production
- **work in progress**
- **finished stock** waiting to be delivered

Stock control:

Just-in-time (JIT) is a stock control method where the business doesn't store any raw materials. Instead, it has regular deliveries that bring only what is needed before its existing raw materials run out, so *buffer stock* is not needed.

Advantage:

- Removing buffer stock space (which would previously have been used for storage) means more space can be used for sales.

Disadvantage:

It can be hard for businesses to react to unexpected changes in demand, eg a heatwave causing an increase in the demand for ice cream.

Interpretation of bar gate stock graphs

- The maximum stock level is the largest amount of stock a business can store on site.
- The **minimum stock level** is also known as **buffer stock**.
- Lead time is how long it takes from ordering stock for it to arrive. The bar graph shows that the lead time is two weeks.
- The reorder level is the point at which a business needs to order new stock in order for it to arrive before its stock falls below the minimum level.

2.3.3 Managing quality

Quality control is the process of inspecting products and services to ensure that what customers receive is of a high standard.

This can be done through: Feedback, factory inspectors and A one hundred percent inspection system is often used in high-end restaurants.

2.3.4 The sales process

Sales approaches:

Hard approach – This is when sales employees actively seek out customers and advise them about the products or services on offer, trying to encourage them to make a purchase. This can be done face to face or through *cold calling*.

Soft approach – This is when sales employees simply advise customers that they are available should the customers require any help or information about the products or services on offer.

2.4 Making financial decisions

2.4.1 Business calculations:

Gross profit = *sales revenue – cost of sales*

Net profit = *gross profit – other operating expenses and interest*

Gross profit margin = sales revenue / gross profit x 100

Net profit margin = sales revenue / net profit x 100

Average rate of return formula:

$$\text{Average rate of return (\%)} = \frac{\text{Average annual profit (total profit} \div \text{number of years)}}{\text{Cost of investment}} \times 100$$

2.4.2 Understanding business performance: This is to help identify trends and issues within the business's operations.

Charts: A chart is used to present information in the form of a graph, a diagram or a table.

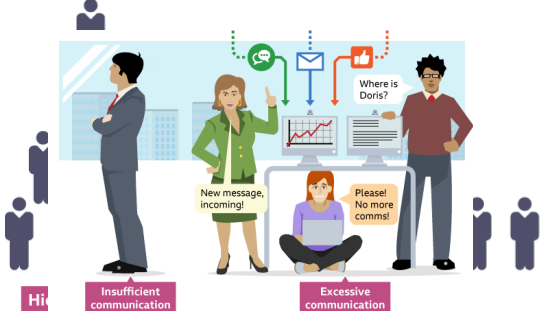
Graphs: A graph is a specific type of chart that illustrates a relationship between two or more variables. These are often plotted on two axes, vertical and horizontal. All graphs are types of chart, but not all charts are graphs.

What data do businesses use?

Financial data – cost/revenues, cash flow, budgets, breakeven, average rate of return.

research. E.g surveys, online research.

aphic factors.



2.5.1 Organisational structures:

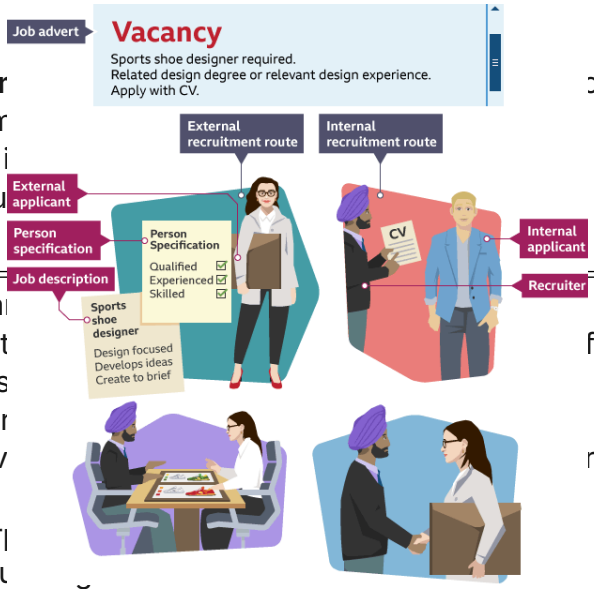
A **hierarchical structure** is often also referred to as

Communication is key!!!!

Insufficient communication means not enough communication or poor-quality communication. Insufficient communication can negatively impact efficiency and motivation, as employees may not fully understand what is required of them

VS

Excessive comm
For example, em
communication i
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2.5.2 Effective recruitment

- **Directors** are the people at the top of a business a
- **Senior managers** sit below the level of director in t
manager in a business and usually have overall res
- **Supervisors and team leaders** sit below the senio
manage a team of employees, which involves prov
working hours and ensuring they fulfil their roles.
- **Operational staff** complete tasks that fulfil the pur
- **Support staff assist** with the daily operation and r

2.5.4 Motivation: determines how hard employees are willing to work for a business and how productive a business is. A business can motivate its employees through financial and non-financial methods

